

TEAM HEADSPACE Group 2 - Tiffany, Isabella, Josh, Roberto, Tarun, & Genesis

1.

One of the most successful marketing techniques for Headspace was the strategic use of social media to engage young consumers. For example, using Snapchat to engage users in sharing their experiences with Headspace through a three to four-minute mini session. This allows users to focus on their mindfulness and encourages them to participate by appealing to the tech-savvy generation. Another successful online marketing technique used was the incorporation of influencer marketing. Headspace used influencers from all walks of life to market the app, and targeted wellness influencers who created a fan base around their healthy lifestyle advice; this directly targeted consumers. Headspace recognized that engaging audiences who may never proactively seek out a meditation app required strategic cross-industry partnerships beyond social media. By co-creating "Performance Mindset" video content with athletes, partnerships with the NBA and WNBA reframed meditation as a performance-enhancing activity rather than a spiritual practice. Headspace partnered with existing companies like Nike Run Club and Weight Watchers to incorporate their product into existing consumer routines, making it easy for the consumer. All of these social and partnership strategies worked together to put the Headspace brand in familiar and ingrained environments, which allowed the consumer to feel as if the brand was a natural part of their life, rather than something they had to go out of their way to find.

2.

One of Headspace's strengths is having a strong brand name that helps differentiate in markets where visual identity plays an important role in a consumer's decision-making. Its bright

animations stand out and make it more approachable. Another strength Headspace has is its partnerships with major commercial companies like Starbucks to offer Headspace as their B2B employee benefits. This strength expands their visibility to a new group of potential users who wouldn't have to spend out of their own pockets, allowing the gains feel much more impactful.

However, their weaknesses include a weak social media presence compared to their competitor, Calm. As of March 2021, Headspace had 853,000 followers on Instagram while Calm had 2.4 million. With less visibility, Headspace will lose a huge consumer base to its competitors. Another weakness is that Headspace lacks narrators, focusing on Buddhist Monk Puddicombe as the meditation narrator. Not everyone values this factor as highly and will be able to connect and meditate with his voice. This weakness may cause consumers with high involvement decisions to feel less attracted to Headspace, resulting in them choosing a different brand. Overall, these weaknesses prevent Headspace from being chosen over its competitors during the decision-making process of some consumers.

An opportunity for growth would be posting the benefits of meditation more regularly on social media with a consistent brand identity to boost visibility. Since social media platforms are constantly being used by people to discover products and services, Headspace must differentiate itself from competitors by posting content that can target the audience that enjoys visuals and cares to learn about the benefits. It is also the best way for Headspace to use segmentation to reach the right audience. Another opportunity for growth would be to collaborate with health care services for discounted costs. People join the meditation world to boost their overall health, so partnering with health care services allows Headspace to use segmentation to meditate interested patients and prove credibility and trust. If patients were to lose their discounted rates,

consumers with brand loyalty and perceived value would likely choose Headspace again to continue meditation, lowering the chances of losing customers.

One of the biggest threats to Headspace is its direct competition, Calm. Calm is another meditation app that is currently dominating the market with Headspace. Calm follows a lot of similar marketing strategies to Headspace, making them head-to-head in the app store. In addition, Calm's social media presence is much stronger, so customers who tend to skip the information searching and alternative evaluation stage of the decision-making process are likely to choose Calm because Calm appears more frequently than Headspace. Another threat they have to face is their indirect competitors, such as in-person meditation classes, which satisfy the same customer needs. The delivery method is different, but it still competes for its customers.

3.

For stressed and busy wellness seekers looking for simpler ways to build mindfulness habits, Headspace is a meditation app that makes mindfulness approachable for users due to its warm and friendly visuals and professional guidance.

4.

Both of these companies are trying to take control over the mindfulness space and be the go-to app for psychological needs by having their own voice and style to make them different. Headspace wants to be the “approachable educator” brand personality, by using cool, whimsical hand-drawn animations and a bright orange color palette to make it feel more like an everyday habit than a mystical retreat. They want it to be a practice for users to regularly visit the app rather than a one-time thing they open when their head is cloudy. On the other hand, Calm is more of an app that tries to help you reach your goals and succeed. Its USP is combining a variety of high-definition nature photography and a darker color palette to make it soothing for

the user. It's hard to think of something more zen than calming music with ambient ocean sounds.

Headspace partners with athletic brands like Nike and healthcare providers, preaching that a healthy mind is significant in terms of living healthily. Calm goes the other way and uses various A-list voices like Matthew McConaughey and Harry Styles for its "Sleep Stories". This shows that while both are targeting a larger mental health niche, headspace is the go-to for self-development and getting motivated to stay on track with your goals. On the other hand, Calm is the premium lifestyle away experience, a wellness escape and entertainment at the same time.

5.

Headspace focused on growth through expanding markets and creating new products for different consumer groups. They wanted to increase awareness and attract new consumers through different marketing platforms. In 2020, they spent \$15.9 million on TV ads, billboards in Times Square, influencer marketing, and partnerships with Snapchat, Netflix, and Spotify. This helped meditation reach a broader audience in the mainstream, more specifically targeting people who are interested in meditation but are beginners. Simultaneously, the company extends its offering across different segments and needs. It provides children's content through Sesame Street, performance training with the NBA, pre-date meditations with Hinge, and workplace programs through Headspace for Work, which now serves over 1,300 companies. In addition, its thrust into the healthcare sector through Headspace Health, which is backed by 55 clinical trials and is currently pursuing FDA approval, also shows a clear segmentation strategy, as it caters to different requirements such as stress, performance, family wellness, and health.

As for concerns, future growth and market share depend largely on competitive pressure and strategic positioning. Although Headspace entered the market first, Calm ultimately passed

Headspace and achieved recognition for slightly higher performance, raising concerns about Headspace's competitive edge. Moreover, the mindfulness space is highly crowded, with over 2,000 apps and low switching costs, making it easy for users to move between similarly priced platforms and increasing the risk of commoditization or "McMindfulness". Monetization is also challenging, as users show the lowest willingness to pay for stress-related content, yet Headspace is strongly associated with beginner meditation and anxiety relief unless users transition into higher-value segments such as performance. Another perceived risk was Headspace Health, which, while providing long-term upside, involves several clinical trials and a long FDA and reimbursement process, thereby involving high execution risk. Lastly, Calm's better sleep positioning and celebrity content may provide a broader emotional connection, potentially pulling engagement away from Headspace's more educational-based approach.

6.

Based on the analysis conducted, we could recommend a multitude of concrete actions Headspace could take to outperform its main competitor, Calm. However, the concrete action we deem most important is to launch a dedicated experience, directly targeting the area where Calm has built its strongest competitive advantage, something akin to "Headspace Sleep". Information provided by the case study highlights how Calm takes the lead in subscribers, revenue, and brand recognition, which is largely attributed to its positioning as the "#1 App for Meditation and Sleep." This is a category Headspace has left entirely untouched despite entering the market first. To pursue this action, Headspace should create an in-app sleep module that features sleep meditations, breathing exercises, and wind-down audio narrated by Andy Puddicombe, whose expert voice and credibility as a Buddhist Monk will bring natural authority to practices rooted in rest and stillness. To ensure the success of this feature, Headspace should differentiate itself from

its competitor, Calm, by offering scientific, published evidence to consumers that supports its claims regarding sleep optimization. This area of evidence accessibility is something Calm lacks, making it even more valuable to Headspace. A consumer who uses Headspace every night before bed is less likely to cancel their subscription than someone who is expected to meditate only during the day. This strategic move would counter Calm's strongest advantage and accelerate Headspace's existing growth strategies while using assets it already has.